

Standard Chartered Plc (HK) (2888)

Legal risk related to sanction evasion case may weigh on share performance, near-term

StanChart's share price concluded last Friday with a 7.0% decline in London (vs FTSE 100 index -0.4%). On Monday morning, the stock fell 2.6% in the HK market (vs HSI +0.6%). The decline is likely attributable to a US lawmaker calling for an investigation into an ongoing sanctions evasion case involving the bank, to prevent the case's expiration in the coming days. In a press release, StanChart refuted the allegation that it facilitated US\$9.6bn in unlawful transactions, as mentioned in the lawmaker's letter, stating that this claim has been repeatedly dismissed by U.S. courts. Given the lack of clarity on future development of this case and the fact that the stock has risen 50% YTD, outperforming the HSI by 24ppts, we may see share price volatility in the near term. The next potential catalysts could be new developments related to the aforementioned case, and/or progress in digital asset development.

- **What's new:** On Aug 15th, there was a release of a letter ([here](#)) from US Republican lawmaker Elise Stefanik to Attorney General Pamela Bondi in relation to an ongoing sanctions evasion case - calling for an investigation into STAN to prevent the expiry of the case in the coming days. Stefanik's letter follows a repost by President Trump on Truth Social on 13th August ([here](#)) in relation to an article on The Gateway Pundit ([here](#)) which discusses Democrat NY Attorney General Letitia James and the Fed's potential inaction related to illicit payments alleged in the case. The case relates to a whistleblower's claim that the bank's transactions with sanctioned Iran-related entities were greater than previously admitted by the bank, with submitted evidence also ignored, although StanChart states that the claim that it had facilitated \$9.6 billion in unlawful transactions (as per Stefanik's letter) was entirely false and has been rejected by the US courts multiple times.
- **StanChart's press release in response to media reports ([here](#)):** "We note reporting containing profound factual inaccuracies in the [legacy Brutus](#) qui tam case. The underlying allegations – including the claim that there are \$9.6 billion in unlawful transactions – are entirely false and have been rejected by the US courts multiple times. We expect the dismissal of this case will continue to be upheld on appeal. We will of course fully cooperate with any relevant authorities to reassure them that these allegations are meritless. The facts have not changed. We remain resolute in our fight against financial crime in every location where we operate, including the United States. We maintain the highest level of compliance with sanctions laws and regulations. We will continue to defend ourselves vigorously against baseless allegations by Brutus which seek to damage our reputation and are motivated by personal financial

Overweight

2888.HK, 2888 HK

Price: HK\$147.40

15 Aug 2025

Price Target: HK\$162.00

PT End Date: 31 Dec 2026

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gain.”

- **JPM view:** We note that the Bank has previously paid >\$1.7bn in settlements (o.w. \$0.7bn 2012, \$1.1bn in 2019) in relation to sanctions breaches across 2001-07 and 2009-2014, and has previously entered into a deferred prosecution agreement with US authorities which expired in April 2021. We also note no disclosures in StanChart’s annual report (or 1H25 report) in relation to the case which implies that the Group does not view this as individually material. Whilst StanChart expects the dismissal of this case will continue to be upheld, we see risks of share price volatility on related news flow.

Investment Thesis

We see StanChart as undervalued relative to its sector/EM peers at 1.0x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group’s previous investments producing revenue momentum. NII is likely to be under pressure in '25E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group’s restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE improving to ~13% by FY26E. Capital remains strong; we forecast distributions of ~\$10.6bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Valuation

Our Dec-26 PT of HK\$162 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY27E and a fair P/B of 0.88x. Our key assumptions are a normalized ROE of 8.1% and a cost of capital of 8.9%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
01-Nov-22	OW	46.95	78
28-Feb-23	OW	72.50	85
18-Apr-23	OW	63.05	78
28-Apr-23	OW	61.95	80
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162

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